

Property Coverage Reference

Coverage rules for PROPERTY claims — Fire & Allied Perils

CLAIMIQ | COVERAGE AGENT REFERENCE

TYPE: PROPERTY

Document scope

Claim type	PROPERTY
Applies to scenarios	Scenario 4 (residential fire — high fraud risk)
Insurer / product	Home / Property Fire & Allied Perils Policy
Sample policy	PRO234567
Purpose	Rules the Coverage Agent checks a property claim against, including fraud-linked coverage holds.

1. Sum insured & settlement basis

Item	Value / basis	Notes
Sum insured	Rs 40,00,000	Structure + contents aggregate
Contents settlement	Actual cash value	Replacement cost minus depreciation
Burnt furniture depreciation	Typically 30-40% of replacement	Market-standard salvage basis
Governing valuation	Independent insurer surveyor	Overrides claimant surveyor

2. Covered perils (inclusions)

- Fire and allied perils — including fire from electrical short circuit.
- Lightning and explosion damage.
- Structural damage to the insured premises.
- Household contents, subject to sub-limits and depreciation.
- Water damage caused by firefighting operations.

3. Exclusions (not covered)

- Arson or wilful / self-inflicted damage.
- Any loss where accelerant use or intentional cause is established.
- Consequential loss and loss of contents not owned by the insured.
- Ordinary wear & tear and gradual deterioration.
- Claims under active criminal investigation — not payable until cleared.

4. Fraud-linked coverage controls

A covered peril alone is not sufficient. Where fraud indicators are present, coverage is **held or blocked** pending investigation, regardless of the underlying peril.

- Photo-metadata timestamp anomalies (dated before/at impossible times).

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- Accelerant smell or inconsistent fire-spread pattern in the fire-brigade report.
- Contradictory claimant statements on presence / whereabouts.
- Contents over-valuation vs. independent survey (e.g. ~130% overstatement).
- Recent policy inception combined with a high claim value.
- Fire NOC issued "with caution" / criminal referral (IPC 435, 420).

5. Coverage decision logic

Condition evaluated	Coverage decision
Covered peril, active policy, no fraud indicators, valuation within independent survey	COVERED — at independent valuation
Claimant valuation exceeds independent survey	COVERED (CAPPED) — pay survey value
One or more critical fraud indicators present	BLOCKED / HOLD — refer to SIU
Criminal investigation open / accelerant established	NOT PAYABLE — pending clearance

Escalation: critical fraud score routes the claim to Special Investigation and criminal-referral workflows; the coverage decision is a hold, not an approval, until the investigation concludes.